

but it's something to consider now. Don't let mistakes you make as a teen limit your life later.

Keep in mind that even if your credit history is flawless, you won't have an excellent score for a few years because your credit age is still young. The credit card companies haven't figured you out yet; you've got to prove yourself before they hand out a first-rate score. Remember that a score represents a specific moment in time, and that's a good thing—it means you can always change your score by changing your behavior.

So how do you act responsibly once you've been added to your parents' credit card? Start small. I suggest charging minor purchases—like a tankful of gas or a meal out at a restaurant—no more than once or twice a month. Pay the total off by the due date—in full. Listen carefully: in your world, there is *no such thing as a credit card balance*. Got that? There is no way on earth you can get a two-digit return, and your savings will never pay for the interest. It's not possible. So you pay off your credit card every single month, never carrying a balance into a second month.

I'm going to lay out for you how the credit card company makes money off your bad decisions. Let's say you just *had* to have that new iPad now, even though you don't have the cash to pay for it. The Mac genius swipes your plastic and you head home the proud owner of a brand new iPad. Success, right?

Wrong. You failed to take into account that your APR (annual percentage rate) is 22 percent. That's your yearly rate of interest. If it's a nominal APR, you're paying an additional 1.83 percent every month you carry a balance (22 percent divided by 12 months). If it's an effective APR, that rate is compounded. Compounding is exactly what you want when you're saving or investing money; it's *not* what you want when you owe that money to someone else. Of course, the credit card company doesn't want you to pay attention to those numbers. Canada just passed a new law where your bill must now include the number of years it will take to pay off your bill if you pay the mere minimum every month, but good luck finding it—the print is so small you'll need a magnifying glass to read it, even with